

CHAPTER- TWO

PLANNING FUNCTIONS

Chapter objectives:

- At the end of the chapter, you would be able to:
- Define planning and related terms
- Describe benefits of planning
- Identify different types of plan
- Describe major steps of planning process
- Describe objectives of planning
- Identify techniques of planning
- Describe relationship between objective & planning

2.1. CONCEPTS & NEEDS FOR PLANNING

2.1.1. CONCEPTS OF PLANNING

Every human activity is undertaken to achieve something following planning. Since man is gifted with the power of reasoning, he rarely does anything without weighing the consequences of his action. Planning is an activity, which is performed before any action is taken. All the actions we take are based on the plan. Planning is the primary function of management & it is to attain the objectives of the enterprise. Planning is important not only in the beginning but throughout the operations.

Planning has as many definitions as management, which many authors gave to it. However, these definitions are mutually supportive or complementary to each other.

- ♣ Planning is the process by which managers set objectives, assess the future, & develop courses of action to accomplish these objectives.
- ♣ Planning is the process of preparing for change, coping with uncertainty by formulating future courses of action.
- ♣ Planning is deciding in advance about something on what to do, how to do it, when to do it and who is to do it.

Thus, it is clear from the various definitions given above that planning involves two things.

- i. Determining the aims and objectives
- ii. Selecting the best course of action to realize the plan/objective on the bases of past experience, present facts and circumstances and future possibilities

2.1.2. NEEDS FOR PLANNING

The military saying, “If you fail to plan, you plan to fail,” is very true. Without a plan, managers are set up to encounter errors, waste, and delays. A plan, on the other hand, helps a manager organize resources and activities efficiently and effectively to achieve goals. The advantages of planning are numerous. Planning fulfills the following objectives:

- i. **To offset/minimize uncertainty:** Future is always full of uncertainties and changes which make planning a necessity because planning foresees the future and makes provisions for it there by giving an added strength to the organization for continuous growth and steady prosperity. Planning **reduces uncertainty** by forcing managers to look ahead, anticipate change, consider the impact of change, and develop appropriate responses. Although planning won’t eliminate uncertainty, managers plan so they can respond effectively.
- ii. **To focus attention on objectives:** Because all planning efforts are directed towards achieving enterprise objectives, the very act of planning focuses attention on these objectives. Well considered overall plans unify interdepartmental activities. Plans keep the people who carry them out focused on the anticipated results. In addition, keeping sight of the goal also motivates employees.
- iii. **To gain economical operation:** Planning minimizes costs because of its emphasis on efficient operation and consistency. It substitutes joint directed effort for uncoordinated piecemeal activity.
- iv. **Gives an organization a sense of direction:** Without plans and goals, organizations merely react to daily occurrences without considering what will happen in the long run. For example, the solution that makes sense in the short term doesn’t always make sense in the long term. Plans avoid this drift situation and ensure that short-range efforts will support and harmonize with future goals.
- v. **Establishes a basis for teamwork:** Diverse groups cannot effectively cooperate in joint projects without an integrated plan. Examples are numerous: Plumbers, carpenters, and electricians cannot build a house without blueprints. In addition, military activities require the coordination of Army, Navy, and Air Force units.
- vi. **Helps anticipate problems and cope with change:** When management plans, it can help forecast future problems and make any necessary changes up front to avoid them. Of course, surprises — such as the 1973 quadrupling of oil prices — can always catch an organization short, but many changes are easier to forecast. Planning for these potential problems helps to minimize mistakes and reduce the “surprises” that inevitably occur.
- vii. **Provides guidelines for decision making:** Decisions are future-oriented. If management doesn’t have any plans for the future, they will have few guidelines for making current decisions. If a company knows that it wants to introduce a new product three years in the future, its management must be mindful of the decisions they make now. Plans help both managers and employees keep their eyes on the big picture.

- viii. **Serves as a prerequisite to employing all other management functions:** Planning is primary, because without knowing what an organization wants to accomplish, management can't intelligently undertake any of the other basic managerial activities: organizing, staffing, leading, and/or controlling.
- ix. **Helps in Controlling:** Planning and controlling are inseparable, and commonly referred to as the Siamese Twins. This is because unplanned action cannot be controlled; therefore control involves correcting deviations from the plan. Any attempt to control without a plan would be meaningless, since there is no way for people whether they are going where they want to go (the task of control), unless they first know where they want to go (the task of planning). Plans thus furnish the standards of control. Generally, a coordinated sense of action, managerial perspective, improved decision making, increased efficiency, improved control and performance are also benefits of planning.

2.2. TYPES OF PLANS

Plans can be classified on the following bases:

- I. Based on duration /time frame/dimension
- II. Based on frequency of use
- III. Based on organizational level

I. Based on duration /time dimension

Based on their time horizon plans can be classified in to three.

- **Short-range plans:** Plan for a year or less e.g., annual plan of sales, revenue, production, material requirement, operating expenses budget.
- **Intermediate plans:** Plan between a year and five years e.g., development of new products (NPD), modernization of facilities, etc
- **Long range plans:** Plan for five or more year e.g., long term plans on production or ware house facilities

II. Based on frequency of use

Frequency refers to how often the plan developed used and based on this plan can be divided in to:

- 1. Single use plan
- 2. Standing plan

1. Single-use plan

It is predetermined course of action developed for unique, non-recurring situations. It is plan that is used once and then discarded. It includes:

- **Budget-** is financial plan for allocating resources to complete a program, project, or other organizational activity. It commits resources to an activity over a given period. Once the period of time covered by the budget is completed, new one replaces the budget.

- **Projects** - are single use plans that are either smaller in scale than programs or part of a program. A project enables to break down complex activities into smaller and manageable activities.
- **A Schedule** - arranges time for a given activity only
- **Program** - A program contains all the activities necessary for achieving the objective, they clarify who is responsible for each activity, and they identify the order and timing for each activity.

2. Standing plan:

It is predetermined course of action developed for repetitive situations. It is continuously govern the operations of a company until it is modified or eliminated. It includes:

- **Policies** - While objectives refer to what is to be done, policies focus on how organizational objectives will be achieved. Policies provide a general guideline to action. It is a framework for administrators to follow in making decisions and handling problem situations. Policies are mainly prepared by the top management.
- **Procedure**- Whereas policies are general framework to attain the organizational objectives, procedure is specific steps required to achieve objectives. It details the exact manner or chronological sequence in which action must be taken. Well-established procedures provide specific instructions in handling organizational operations.
- **Rule**- a plan that dictates actions that must or must not be taken in a given situation. It allows no discretion and denial followed by penalty. It is a plan dictates do or not do. There is no place for personal interpretation. It is the simplest form of plan.

III. Based on organizational level/ scope

Based on where they are formulated in an organization, plans can be classified into:

1. Strategic Plans (top management plans)

They are primarily concerned with the development of overall company missions (reason or purpose for existence), objectives and strategies (the direction in which resources will be applied). Top-level managers are responsible to set strategic plans.

2. Administrative/ Tactical Planning

It is the process of setting specific guidelines that shows how to achieve the long-term objectives/strategic plans. It is performed at major functional department level (middle management) and focuses on applying policies and guidelines that govern the activities of major departments of a firm (e.g. manufacturing finance, marketing, personal, etc).

3. Operational planning

They are done at the supervisory level and are concerned with the efficient and day-to-day use of resources for fulfillment of departmental goals.

2.3. PLANNING PROCESS

The following are the steps that serve as a general model which can be applied with some modification, to the planning processes of any organization, whether it is large or small, profit making or not-for-profit.

- 1. Identifying and defining the real problem:** An awareness of opportunities in the external environment as well as within the organization is the real starting point for planning. We should take a preliminary look at possible future opportunities and see them clearly and completely: know where we stand in the light of our strengths and weakness, understand what problems we wish to solve and why, and know what we expect to gain. Our setting of realistic objectives depends on this awareness and planning requires realistic diagnosis of the opportunity situation.
- 2. Establish clear- cut objectives:** The next step in the planning process is to set objectives to the organization and to each work unit, not only for long-term but also for the short range. Objectives specify the expected results and indicate the end point of what is to be done, where the primary emphasis is to be placed, and what is to be accomplished by the net work of strategies, policies, procedures, rules, budgets and programs.
- 3. Establishing the Premises:** Premises are assumptions providing a background against which estimated events affecting the plan will take place. They are assumptions about the environment in which the plan is to be carried out. Knowledge of the organization's goals and existing conditions provides a framework for defining which aspects of the environment will have the greatest influence on the organization ability to achieve its objective. The purpose of environmental analysis is to identify ways to respond to changes in economic, technological, social, cultural & political and legal environments having indirect influence to the organization's plans and for changes with direct influences which can be extended on the organization's market, industry, suppliers, competitors or key resources and skills. Here, great consideration should be given to the assumptions regarding the future. Therefore, the assumption and the constraints under which plans are to operate should be clearly brought about/ established.
- 4. Identify Alternative Course of Action:** The fourth step in planning process is to find alternative course of action. We may have a number of alternatives and finding alternatives is not common problem. But reducing the number of alternatives so that selecting the most promising may be analyzed which requires the assessment of their probable consequences. Thus, the planner must usually make preliminary examination to discover the most fruitful possibilities.

5. **Evaluating alternative Courses:** After identifying the alternatives, the next logical step is to evaluate each and every alternative by weighing them in the light of the premises and goals. One course may appear to be profitable but require a large outlay with a slow pay back; another may look less profitable but involves less risk; still another may better suit the company's long range objectives but it is difficult to adapt it, etc. Therefore, make an adjustment for the forecast plan if any: see if the cost, speed, and quality requirements are satisfied for the achievement of desired objectives in terms of each possible course of action.
6. **Selecting a course of action/best Alternative:** After evaluating each alternative based on the goals and premises, the next step is to decide or select the best course of action that will help efficiently achieve the organization objectives. When we decide, we have to make sure that the plan possesses flexibility to adjust to varying conditions, acceptance of the plan by operating personnel as well as the existing capacity of the firm and need for new equipment, space, personnel training and supervision.
7. **Implementing the plan:** Developing an action plan to implement the optimum alternative. Determining who will be involved, what resources will be assigned, how the plan will be evaluated, and the reporting procedures?
8. **Controlling and evaluating the results:** Making certain that the plan is going according to expectations and making necessary adjustments. The planner should be able to arrange for sufficient reports and records over a reasonable period to be collected to inform proper management members and measure results as well as what remedial action could be proposed if results indicate weakness when plans are in action.

2.4. OBJECTIVES or GOALS

Planning is often called the primary management function because it establishes the basis for all the other things managers do as they organize, lead, and control. It involves two important aspects: goals and plans.

Goals (objectives) are desired outcomes or targets. They guide management decisions and form the criterion against which work results are measured. That's why they're often described as the essential elements of planning. You have to know the desired target or outcome before you can establish plans for reaching it.

Plans are documents that outline how goals are going to be met. They usually include resource allocations, schedules, and other necessary actions to accomplish the goals. As managers plan, they develop both goals and plans (planning determines goal & plan).

Nature of Objectives

1. **Goals are predetermined or stated in advance.**
2. **Goals describe future desired results toward which present efforts are directed.**
3. **Goals should be specific and measurable.** If possible, goals should be expressed in quantitative terms.

4. **Goals should have defined time period.** They should specify the time period over which goals will be achieved and measured. However, the long-range objectives should provide the direction for short-range objectives.
5. **Objectives should be continually adjusted in light of environmental changes.** However, too frequent changes and adjustments may cause confusion and disruption of plans, strategies, policies, budgets, etc.
6. **Goals should be challenging but realistic.** If a goal is too difficult employees may give up. If too easy, and routine type they may not feel motivated. Therefore, goals should be set within the existing resource base and not beyond the department's time, equipment, labor, and financial resources. This gives workers job satisfaction and a great desire to work hard. A difficult job is something beyond the resource capacity of the organization and the individual employee. It ends up with failure to achieve the stated goals.
7. **Objectives have hierarchy**

In planning, broader and more comprehensive objective with long time frame will be formulated at the very top. These top-level objectives must successfully be broken down to more specific and shortsighted sub-objectives because moving the organization to goal attainment calls for achieving these sub-objectives which are the means by which objectives are attained. Each level of objective stand as ends relative to the levels below it and as a means relative to the level above it.

In short, like all management activities objectives have hierarchy. It ranges from the broadest organizational objectives to specific /individual objectives. Organizations typically have three levels of goals: strategic, tactical, and operational.

Strategic goals - are broadly defined targets or future end results set by top-level management. Such goals typically address issues relating to the organization as a whole rather than specific divisions or departments and may sometimes be stated in fairly general terms. Strategic goals are sometimes called official goals because they are formally stated by top management.

Tactical goals - are targets or future end results usually set by middle management for specific departments or units. Goals at this level spell out what must be done by various departments to achieve the results outlined in the strategic goals. Tactical goals tend to be stated in more measurable terms than is sometimes true of strategic goals.

Operational goals - are targets or future end results set by lower management that address specific, measurable outcomes required from lower levels.

The three levels of goals can be thought of as forming a hierarchy of goals. With a hierarchy, goals at each level need to be synchronized so that efforts at the various levels are channeled ultimately toward achieving the major goals of the organization. In this way, the various levels of goals form a means-end chain, in which the goals at the operational level (means) must be achieved in order to reach the goals at the tactical level (end). Likewise, the goals at

the tactical level (means) must be reached in order to achieve the goals at the strategic level (end).

8. Multiplicity of objectives

Even though there is only one broad and overall organizational objective, there are other multiple (many) objectives that are under the umbrella of the overall plan which are directed to attain the overall plan. It would have been relatively easy to achieve an objective and its sub-objective had an organization had only a single basic objective. But in reality organizations do have a multitude of objectives and any attempt to disregard this fact can invite failure to organizations.

E.g. Organizational (Broad) objective: profit maximization

Other objectives { Satisfaction of customers
Research & development
Employee development

9. Integrating character

In order to achieve the broad organizational objective there should be harmony or integration among objectives.

Multiple → Integration → Network of
Objectives objectives

10. Network of objectives

Objectives of an organization form network, that is, objectives are interrelated and interdependent. The union of the individual objectives to form an overall objective makes network of objectives. If there were no network of objectives, it would be very difficult to achieve organizational objectives because people with their individual objective will pursue their activity as right and coordination can never be possible.

11. Primacy of objectives

Objectives are primary to organization because they are the very reason for the existence of an organization.

2.5. Characteristics of Good Plan

Every sound business plan must have these characteristics:

❖ Objectivity:

Planning should, first all, be based on objective thinking. It should be factual, logical and realistic. It should be directed to achieving organizational goals rather than personal objectives.

❖ Futurity:

Since a plan is a forecast of some future action, it must have the quality of futurity; otherwise, it has little value as a basis for future action. If a plan is to be effective, it must

foresee with reasonable accuracy the nature of future events affecting the industry and the firm. The inability to foresee future events, a human limitation that we cannot overcome, is the weak link in planning process.

❖ **Flexibility:**

Because no one can foresee the future, plans must have flexibility. They must adjust smoothly and quickly to changing conditions without seriously losing their effectiveness. The more difficult it is to predict the future, the more flexible the plans must be.

❖ **Stability:**

Stability is related to flexibility. A stable plan will not have to be abandoned because of long-term changes in the company's situation. It may be affected by long-range developments, but it should not be changed materially from day to day.

❖ **Comprehensive:**

A plan must be comprehensive enough to provide adequate guidance, but not so detailed as to be unduly restrictive. It should cover everything required of people, but not in such detail that it inhibits initiative.

❖ **Simplicity and clarity:**

Although a good plan must be comprehensive, it should also be simple. A simple plan seeks to attain its objective with the fewest components, forces, effects and relationships. A plan should not be ambiguous. Lack of clarity makes understanding and implementation difficult.

❖ **Contingency planning:** is the development of alternative plans for use in the event that environmental conditions evolve differently than anticipated, rendering original plans unwise or unfeasible.

❖ **Planning staff:** is a small group of individuals who assist top-level managers in developing the various components of the planning process.

2.6. TECHNIQUES OF PLANNING

Individual assignment (10%)